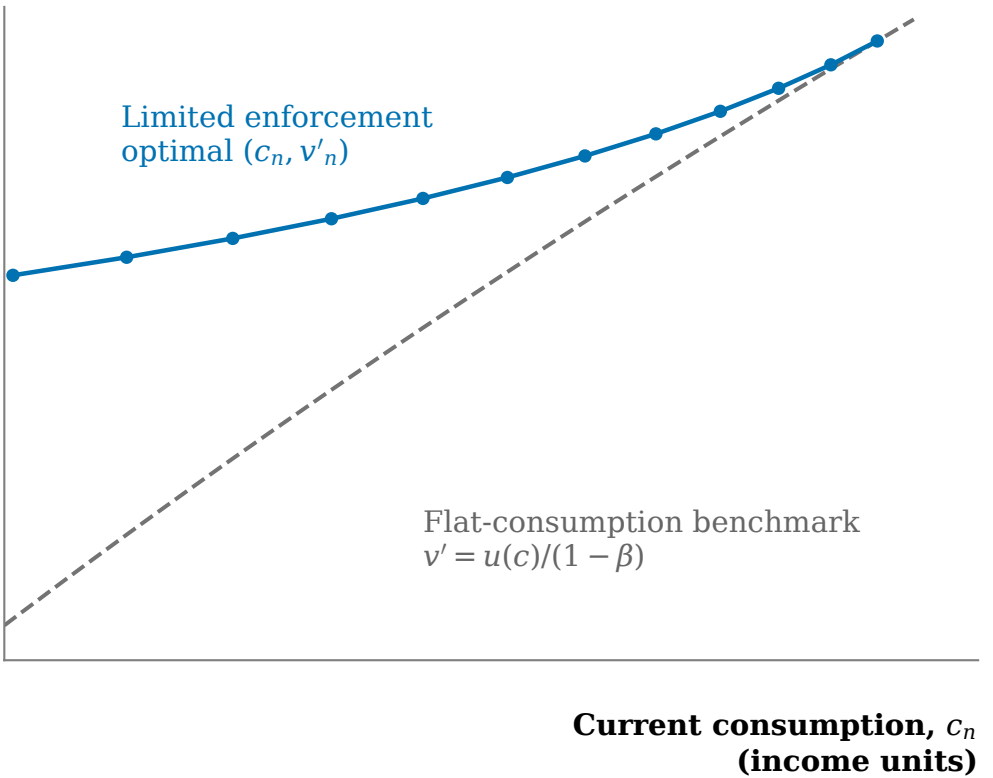
Continuation promise, v'_n
(discounted utility)
Limited enforcement
optimal (c_n, v'_n)
Flat-consumption benchmark
$v' = u(c)/(1-\beta)$
Current consumption, c_n
(income units)